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UNIT-4: Financial Accounting

Financial Accounting: After spending the money for the business, financial accounting exists and this is considered as "The art of recording, classifying and summarizing in a significant manner and in terms of money transactions and events, which are in part at least, of a financial

character and interpreting the results thereof."

Principles of Financial Accounting:

Accounting is a system evolved to achieve a set of objectives. In order to achieve the goals, we need a set of principles or guidelines. These principles are termed here as "Basic Accounting Concepts" and "Accounting Conventions".

The term concept means an idea or thought. Basic accounting concepts are the fundamental ideas or basic assumptions underlying the theory and profit of financial accounting. These concepts help in bringing about uniformity in the practice of accounting. In accountancy following concepts are quite popular.

1. BUSINESS ENTITY CONEPT: In this concept "Business is treated as separate from the proprietor". All the Transactions recorded in the book of Business and not in the books of proprietor. The proprietor is also treated as a creditor for the Business.

2. GOING CONCERN CONCEPT: This concept relates with the long life of Business. The assumption is that business will continue to exist for unlimited period unless it is dissolved due to some reasons or the other.

3. MONEY MEASUREMENT CONCEPT: In this concept "Only those transactions are recorded in accounting which can be expressed in terms of money, those transactions which cannot be expressed in terms of money are not recorded in the books of accounting".

4. COST CONCEPT: Accounting to this concept, can asset is recorded at its cost in the books of account. i.e., the price, which is paid at the time of acquiring it. In balance sheet, these assets appear not at cost price every year, but depreciation is deducted and they appear at the amount, which is cost, less classification.

5. ACCOUNTING PERIOD CONCEPT: every Businessman wants to know the result of his investment and efforts after a certain period. Usually one-year period is regarded as an ideal for this purpose. This period is called Accounting Period. It depends on the nature of the business and object of the proprietor of business.

6. DUAL ASCEPT CONCEPT: According to this concept "Every business transactions has two aspects", one is the receiving benefit aspect another one is giving benefit aspect. The receiving benefit aspect is termed as "DEBIT", where as the giving benefit aspect is termed as "CREDIT". Therefore, for

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every debit, there will be corresponding credit.

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7. MATCHING COST CONCEPT: According to this concept "The expenses incurred during an accounting period, e.g., if revenue is recognized on all goods sold during a period, cost of those good sole should also Be charged to that period.

8. REALISATION CONCEPT: According to this concept revenue is recognized when a sale is made. Sale is Considered to be made at the point when the property in goods posses to the buyer and he becomes legally liable to pay.

ACCOUNTING CONVENTIONS

Accounting is based on some customs or usages. Naturally accountants here to adopt that usage or custom. They are termed as convert conventions in accounting. The following are some of the important accounting conventions.

1. FULL DISCLOSURE: According to this convention accounting reports should disclose fully and fairly the information. They purport to represent. They should be prepared honestly and sufficiently disclose information which is if material interest to proprietors, present and potential creditors and investors. The companies ACT, 1956 makes it compulsory to provide all the information in the prescribed form.

2. MATERIALITY: Under this convention the trader records important factor about the commercial activities. In the form of financial statements if any unimportant information is to be given for the sake of clarity it will be given as footnotes.

3. CONSISTENCY: It means that accounting method adopted should not be changed from year to year. It means that there should be consistent in the methods or principles followed. Or else the results of a year Cannot be conveniently compared with that of another.

4. CONSERVATISM: This convention warns the trader not to take unrealized income in to account. That is why the practice of valuing stock at cost or market price, which ever is lower is in vague. This is the policy of "playing safe"; it takes in to consideration all prospective losses but leaves all prospective profits.

3.1. Double-entry Book-keeping:

According to G.A. Lee the accounting system has two stages.

1. The making of routine records in the prescribed from and according to set rules of all events with affect the financial state of the organization; and

2. The summarization from time to time of the information contained in the records, its presentation in a significant form to interested parties and its interpretation as an aid to

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decision making by these parties. First stage is called Book-Keeping and the second one is Accounting.

Book–Keeping: Book–Keeping involves the chronological recording of financial transactions in a set of books in a systematic manner.

Accounting: Accounting is concerned with the maintenance of accounts giving stress to the design of the system of records, the preparation of reports based on the recorded date and the interpretation of the reports.

Double-entry Book-keeping system: Modern accounting system is based on double entry system which is based on the fundamental accounting equation, Assets = Liabilities + Equity.

This system believes an assumption of every transaction has two aspects which are to be considered as incoming aspect and outgoing aspect. To identify and balance these two aspects the words 'Debit' and 'Credit' are created with the above meanings. According the double- entry bookkeeping principle, "Every debit has its corresponding credit". To meet this principle, it is required to record every transaction twice in the book of accounts.

Thus, three classes of accounts are maintained for recording all business transactions.

1. Personal Accounts: Accounts which are transactions with persons are called "Personal Accounts". A separate account is kept on the name of each person for recording the benefits received from ,or given to the person in the course of dealings with him. E.g.: Krishna's A/C, Gopal's A/C, SBI A/C, Nagarjuna Finanace Ltd.A/C, Roy & Sons A/C , HMT Ltd. A/C, Capital A/C, Drawings A/C etc.

2. Real Accounts: The accounts relating to properties or assets are known as "Real Accounts" .Every business needs assets such as machinery , furniture etc, for running its activities .A separate account is maintained for each asset owned by the business. E.g.: cash A/C, furniture A/C, building A/C, machinery A/C etc.

3. Nominal Accounts: Accounts relating to expenses, losses, incomes and gains are known as "Nominal Accounts". A separate account is maintained for each item of expenses, losses, income or gain. E.g.: Salaries A/C, stationery A/C, wages A/C, postage A/C, commission A/C, interest A/C, purchases A/C, rent A/C, discount A/C, commission received A/C, interest received A/C, rent received A/C, discount received A/C.

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Before recording a transaction, it is necessary to find out which of the accounts is to be debited and which is to be credited. The following three different rules have been laid down for the three classes ofaccounts….

1. Personal Accounts: The account of the person receiving benefit (receiver) is to be debited and the account of the person giving the benefit (given) is to be credited.

Rule: "Debit----The Receiver Credit---The Giver"

2. Real Accounts: When an asset is coming into the business, account of that asset is to be debited. When an asset is going out of the business, the account of that asset is to be credited.

Rule: "Debit----What comes in Credit---What goes out"

3. Nominal Accounts: When an expense is incurred or loss encountered, the account representing the expense or loss is to be debited. When any income is earned or gain made, the account representing the income of gain is to be credited.

Rule: "Debit----All expenses and losses Credit---All incomes and gains"

3.2. Practice of Accounting Process:

Business is the organized efforts of enterprises to supply goods & services to consumers for

3.2.1 Journal Book:

The first step in accounting therefore is the record of all the transactions in the books of original entry viz., Journal and then posting into ledges. The word Journal is derived from the Latin word 'journ' which means a day. Therefore, journal means a 'day Book' in day-to-day business transactions are recorded in chronological order.

Journal is treated as the book of original entry or first entry or prime entry. All the business transactions are recorded in this book before they are posted in the ledges. The journal is a complete and chronological (in order of dates) record of business transactions. It is recorded in a systematic manner. The process of recording a transaction in the journal is called "JOURNALISING". The entries made in the book are called "Journal Entries".

The proforma of Journal is given below.

Date	Particulars	L.F. no*	Debit Rs.	Credit Rs.
1998 Jan 1	Purchases account to cash account(being goods purchased for cash)		10,000/-	10,000/-

** Ledger Folio(page) Number*

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3.2.2 Ledger Accounts:

All the transactions in a journal are recorded in a chronological order. After a certain period, if we want to know whether a particular account is showing a debit or credit balance it becomes very difficult. So, the ledger is designed to accommodate the various accounts maintained the trader. It contains the final or permanent record of all the transactions in duly classified form. "A ledger is a book which contains various accounts." The process of transferring entries from journal to ledger is called "POSTING". Posting is the process of entering in the ledger the entries given in the journal. Posting into ledger is done periodically, may be weekly or fortnightly as per the convenience of the business. The following are the guidelines for posting transactions in the ledger.

1. After the completion of Journal entries only posting is to be made in the ledger.

2. For each item in the Journal a separate account is to be opened. Further, for each new item a new account is to be opened.

3. Depending upon the number of transactions space for each account is to be determined in the ledger.

4. For each account there must be a name. This should be written in the top of the table. At the end of the name, the word "Account" is to be added.

5. The debit side of the Journal entry is to be posted on the debit side of the account, by starting with "TO".

6. The credit side of the Journal entry is to be posted on the debit side of the account, by starting with "BY".

Proforma for ledger:

Particulars account

Dr. Cr.

Date	Particulars	Lfno	Amount	Date	Particulars	Lfno	Amount

3.2.3 Trial Balance:

The first step in the preparation of final accounts is the preparation of trail balance. In the double entry system of bookkeeping, there will be credit for every debit and there will not be any debit without credit. When this principle is followed in writing journal entries, the total amount of all debits is equal to the total amount all credits.

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A trail balance is a statement of debit and credit balances. It is prepared on a particular date with the object of checking the accuracy of the books of accounts. It indicates that all the transactions for a particular period have been duly entered in the book, properly posted and balanced. The trail balance doesn't include stock in hand at the end of the period. All adjustments required to be done at the end of the period including closing stock are generally given under the trail balance.

DEFINITIONS: SPICER AND POGLAR :A trail balance is a list of all the balances standing on the ledger accounts and cash book of a concern at any given date.

A trail balance is a statement of debit and credit balances extracted from the ledger with a view to test the arithmetical accuracy of the books. Thus a trail balance is a list of balances of the ledger accounts' and cash book of a business concern at any given date.

PROFORMA FOR TRAIL BALANCE:

Trail balance for MR..... as on .....

NO	NAME OF ACCOUNT (PARTICULARS)	DEBIT AMOUNT(RS.)	CREDIT AMOUNT(RS.)

Specimen of Trail Balance

1 Capital	Credit	Loan
2 Opening stock	Debit	Asset
3 Purchases	Debit	Expense
4 Sales	Credit	Gain
5 Returns inwards	Debit	Loss
6 Returns outwards	Debit	Gain
7 Wages	Debit	Expense
8 Freight	Debit	Expense
9 Transport expenses	Debit	Expense
10 Royalities on production	Debit	Expense
11 Gas, fuel	Debit	Expense
12 Discount received	Credit	Revenue
13 Discount allowed	Debit	Loss
14 Bas debts	Debit	Loss
15 Dab debts reserve	Credit	Gain
16 Commission received	Credit	Revenue
17 Repairs	Debit	Expense
18 Rent	Debit	Expense
19 Salaries	Debit	Expense
20 Loan Taken	Credit	Loan

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21	Interest received	Credit	Revenue
22	Interest paid	Debit	Expense
23	Insurance	Debit	Expense
24	Carriage outwards	Debit	Expense
25	Advertisements	Debit	Expense
26	Petty expenses	Debit	Expense
27	Trade expenses	Debit	Expense
28	Petty receipts	Credit	Revenue
29	Income tax	Debit	Drawings
30	Office expenses	Debit	Expense
31	Customs duty	Debit	Expense
32	Sales tax	Debit	Expense
33	Provision for discount on debtors-	Debit	Liability
34	Provision for discount on creditors-	Debit	Asset
35	Debtors	Debit	Asset
36	Creditors	Credit	Liability
37	Goodwill	Debit	Asset
38	Plant, machinery	Debit	Asset
39	Land, buildings	Debit	Asset
40	Furniture, fittings	Debit	Asset
41	Investments	Debit	Asset
42	Cash in hand	Debit	Asset
43	Cash at bank	Debit	Asset
44	Reserve fund	Credit	Liability
45	Loan advances	Debit	Asset
46	Horse, carts	Debit	Asset
47	Excise duty	Debit	Expense
48	General reserve	Credit	Liability
49	Provision for depreciation	Credit	Liability
50	Bills receivable	Debit	Asset
51	Bills payable	Credit	Liability
52	Depreciation	Debit	Loss
53	Bank overdraft	Credit	Liability
54	Outstanding salaries	Credit	Liability
55	Prepaid insurance	Debit	Asset
56	Bad debt reserve	Credit	Revenue
57	Patents & Trademarks	Debit	Asset
58	Motor vehicle	Debit	Asset
59	Outstanding rent	Credit	Revenue

3.2.4 Final Accounts-Trading Account:

In every business, the businessman is interested in knowing whether the business has resulted in profit or loss and what the financial position of the business is at a given time. In brief, he wants to know (i) The profitability of the business and (ii) The soundness of the business.

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The trader can ascertain this by preparing the final accounts. The final accounts are prepared from the trial balance. Hence the trial balance is said to be the link between the ledger accounts and the final accounts. The final accounts of a firm can be divided into two stages. The first stage is preparing the trading and profit and loss account and the second stage is preparing the balance sheet.

The first step in the preparation of final account is the preparation of trading account. The main purpose of preparing the trading account is to ascertain gross profit or gross loss as a result of buying and selling the goods.

Trading account of MR…… for the year ended ……

Dr.		Cr.	
Particulars	**Amount**	**Particulars**	**Amount**
To Opening Stock	Xxxx	By Sales	Xxxxx
To Raw Material	Xxxx	Les: Sales return or	Xxxxx
To Semi Finished Goods	Xxxx	Return inward	Xxxx
To Purchases		By Closing Stock of	Xxxxx
Less: Purchase Returns	Xxxx	Raw material	
or		Work in progress	Xxxx
Return Outward	Xxxx	Finished goods	Xxxx
Less: Goods taken by Proprietor	Xxxx	By Gross Loss C/fd. To Profit & Loss	
Less: Goods given as charity	Xxxx	Account	Xxxx
Less: Goods given as free sample	Xxxx		
To Carriage or Cartage or	Xxxx		
Carriage Inward or	Xxxx		
Carriage on Purchases or	Xxxx		
Carriage and freight	Xxxx		
To Import duty customs or	Xxxx		
Landing/clearing charges	Xxxx		
To Wages on production	Xxxx		Xxxx
To Coal/gas/Power/fuel/water	Xxxx		
To Manufacturing expenses	Xxxx		
To Gross Profit C/fd. to Profit & Loss Account	Xxxx		
Total:	**Xxxxx**	**Total:**	**Xxxxx**

Finally, a ledger may be defined as a summary statement of all the transactions relating to a person, asset, expense or income which have taken place during a given period of time. The up-to-date state of any account can be easily known by referring to the ledger.

3.2.5 Final Accounts-Profit & Loss Account:

The business man is always interested in knowing his net income or net profit. Net profit represents the excess of gross profit plus the other revenue incomes over administrative, sales, Financial and other expenses. The debit side of profit and loss account shows the

expenses and the credit side the incomes. If the total of the credit side is more, it will be the net profit. And if the debit side is more, it will be net loss.

Proforma of Profit & Loss Account

Profit & Loss of_____as on_____-

Dr.			Cr.
Particulars	**Amount**	**Particulars**	**Amount**
To Gross Loss B/fd. From Trading Account	Xxxx	**By Gross Profit B/fd. From Trading A/c.**	Xxxxx
To All Business expenses and losses:	Xxxx	**By Interest Received on credits/**	
Example:		**investments/fixed deposits**	Xxxxx
Salaries, Rent, Taxes, Office expenses, Insurance, Sundry expenses, Printing & stationary, Staff Welfare expenses, Lighting, Postage, Fax, Courier, Telephone expenses, Law or legal charges, repairs, maintenance, distribution expenses, travelling and conveyance, Indirect unproductive expenses, Audit fee, entertainment expenses, Discount allowed, bad debits, provision for doubtful debits, depreciation, bank charges, export charges, administrative expenses, commission paid, advertisement costs, Charity, donations, Licence and brokerage charges, sales tax, loss on fixed assets by accidents, maintenance of assets charges,		**By Money received as** Discounts, Commission, Devidends, Sales of assets, Refund of tax, Compensation, increasing value of assets, reserves left over bad or doubtful debits	Xxxxx
To Net profit C/fd. to Capital A/c. to Balance Sheet	Xxxx	**By Net Loss C/fd. to Capital A/c. in Balance Sheet**	Xxxx
Total:	**Xxxxx**	**Total:**	**Xxxxx**

3.2.6 Final Accounts-Balance Sheet:

The final step of final accounts is the preparation of balance sheet. It is prepared often in the trading and profit, loss accounts have been compiled and closed. A balance sheet may be considered as a statement of the financial position of the concern at a given date.

DEFINITION: A balance sheet is an item wise list of assets, liabilities and proprietorship of a business at a certain state.

J.R.botliboi: A balance sheet is a statement with a view to measure exact financial position of a business at a particular date.

Thus, Balance sheet is defined as a statement which sets out the assets and liabilities of a business firm and which serves to as certain the financial position of the same on any particular date. On the left-hand side of this statement, the liabilities and the capital are shown. On the right-hand side all the assets are shown. Therefore, the two sides of the balance sheet should be equal. Otherwise, there is an error somewhere.

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BALANCE SHEET OF …… AS ON ……

Capital and Liabilities	Amount	Properties and Assets	Amount
Capital:		**Fixed Assets:**	Xxxx
Add: Net Profit, Interest on capital, etc.		To Furniture and fittings,	Xxxx
Less: Personal Drawings, Interest on drawings, Net Loss, Income Tax.		To Plats & machinery	Xxxx
		To Land & buildings,	
		Less: Depreciation on tangible assets	Xxxx
Current Liabilities:	Xxxx	To Patents,	Xxxx
To Sundry Creditors	Xxxx	To Trademarks	Xxxx
To Bills Payable	Xxxx	To Copyrights	Xxxx
To Bank Overdraft	Xxxx	To Goodwill	Xxxx
To Outstanding Expenses	Xxxx		
To Income received in advance	Xxxx	**Current Assets:**	Xxxx
To Short term Loans	Xxxx	To Cash in hand	Xxxx
Fixed Liabilities:	Xxxx	To Cash at bank	Xxxx
To Loans		To Bills receivable	Xxxx
To Mortgage		To Sundry Debtors	Xxxx
To Debentures		To Closing stock	Xxxx
To Sales Tax collected		To Prepaid Expenses	Xxxx
Reserve and Funds:	Xxxx	To Investments	Xxxx
To General Reserve, Contingency reserve, Provident Fund, Employees compensation, Provision for taxation.			
Total:	**Xxxx**	**Total:**	**Xxxx**

4.5 Problems on Accounting Process:

Problem:1 - Post the following transaction in Journal book.

1. Business started with Cash Rs.20Lakh
2. Purchases on credit from M/s. Srinivas Traders worth of Rs.4 Lakh
3. Bank account opened in the name of business with Rs.6 Lakh
4. Machinery purchased worth of Rs.3 Lakh and paid by cheque
5. Sold goods to Vijay worth of Rs.1,50,000/- on credit
6. Paid to M/s. Srinivas Traders by cheque of Rs.3,95,000/- in full settlement
7. Paid wages for daily workers on cash worth of Rs.12,000/-
8. Received cash of Rs.1,40,000/- from Vijay to settle sales credit
9. Sales made on cash worth of Rs.6 Lakh
10. Cash Deposited at bank Rs.5Lakh
11. Paid Rs.20,000/- for electric charges
12. Issued cheque of Rs.8,000/- for transport charges
13. Paid salaries to the workers through online transfer worth of Rs. 80,000/-

Sol:

Date	Particulars		L.F. no	Debit Rs.	Credit Rs.
2019 1st Jan	Cash A/c To Capital A/c. (Being business started with cash)	Dr.		2000000	 2000000
2nd Jan	Purchase A/c. To M/s.Srinivas Traders (Being Credit purchases)	Dr.		400000	 400000
3rd Jan	Bank A/c. To Cash A/c. (Being Bank Account opened)	Dr.		600000	 600000
4th Jan	Machinery A/c. To Bank A/c. (Being Machinery purchased)	Dr.		300000	 300000
5th Jan	Vijay A/c. To Sales A/c. (Being credit sales made)	Dr.		150000	 150000
6th Jan	M/s.Srinivas Traders A/c. To Bank A/c. To Discount A/c. (Being Purchase credit settled)	Dr.		400000	 395000 5000
7th Jan	Wages A/c. To Cash A/c. (Being wages paid in cash)	Dr.		12000	 12000
8th Jan	Cash A/c. Discount A/c. To Vijay A/c. (Being Sales credit settled)	Dr. Dr.		140000 10000	 150000
9th Jan	Cash A/c. To Sales A/.c (Being Cash Sales made)	Dr.		600000	 600000
10th Jan	Bank A/c. To Cash A/c. (Being Money deposited in bank)	Dr.		500000	 500000
11th Jan	Electrical Charges A/c. To Cash A/c. (Being electrical charges paid)	Dr.		20000	 20000
12th Jan	Transport Charges A/c. To Bank A/c. (Being Transport charges paid)	Dr.		8000	 8000
13th Jan	Salaries A/c. To Bank A/c. (Being salaries transferred)	Dr.		80000	 80000

Problem:2 - From the following particulars in respect of M/s. Ram Industries, Journalize the following transactions, post them to the ledger, prepare the trial balance and prepare the final accounts.

Date	Particulars
March 2019	
1	Started business with the capital of Rs.50000
2	Opened a Bank Account by paying Rs. 35,000
3	Purchased goods from Ajay on credit Rs. 20,000
5	Sold the goods to Vijay on credit Rs.14,000
7	Paid Ajay by Cheque Rs.19,500 in full Settlement
9	Received Rs.13,000 from Vijay in full settlement by cheque
15	Purchased furniture of Rs.10,000 paid the amount by cheque
18	Paid for traveling expenses in cash Rs.3,000
21	Sold the goods to Vinod for cash Rs.10,000
25	Goods purchased from Ashok against cash Rs.8,000
27	Cash deposited in bank Rs.5,000
28	Amount withdrawn by cheque for personal purpose Rs.3000
30	Paid salary in cash Rs.2,000

Adjustments:

1. Value of goods unsold on 31st March 2012, valued at cost Rs.17,000
2. Depreciate furniture @2%
3. Telephone bill for the month of March 2012 not yet paid Rs.1,5000

Solution:

In the books of M/s. Ram Industries

Date	Particulars	L.F.	Debit (Rs.)	Credit (Rs.)
March' 19	Cash A/c Dr. To,		50,000	
1st	Capital A/c.			50,000
	(Capital introduced in the business)			
2nd	Bank A/c Dr.		35,000	
	To, Cash A/c.			35,000
	(Opened Bank Account)			

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3rd	Purchase A/c Dr. To, Ajay A/c. (Goods purchased on Credit)		20,000	 20,000
5th	Vijay A/c Dr. To, Sales A/c. (Goods sold on Credit)		14,000	 14,000
7th	Ajay A/c Dr. To, Bank A/c. To, Discount A/c. (Paid Ajay in full settlement)		20,000	 19,500 500
9th	Bank A/c Dr. Discount A/c Dr. To, Vijay A/c. (Received from Vijay in full settlement)		13,000 1,000	 14,000
15th	Furniture A/c Dr. To, Bank A/c. (Furniture purchased against Cheque)		10,000	 10,000
18th	Travelling Expenses A/c. Dr. To, Cash A/c. (Paid for travelling expenses)		3,000	 3,000
21st	Cash A/c. Dr. To, Sales A/c. (Sold goods for cash)		10,000	 10,000
25th	Purchases A/c. Dr. To, Cash A/c. (Goods purchased for Cash)		8,000	 8,000
27th	Bank Account A/c. Dr. To, Cash A/c. (Cash deposited in bank)		5,000	 5,000
28th	Drawings A/c. Dr. To, BankA/c. (Withdrawn for personal purpose)		3,000	 3,000
30th	Salary A/c. Dr. To, Cash A/c. (Paid salary in cash)		2,000	 2,000

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General Ledger of M/s. Ram Industries for March, 2019

Cash Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
1	To Capital A/c.		50,000		2	By Bank		35,000
2	To Sales		10,000		18	By Travelling Exp.		3,000
					25	By Purchases		8,000
					27	By Bank		5,000
					30	By Salary		2,000
					31	By Balance C/fd.		7,000
			60,000					**60,000**

Bank Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
1	To Cash A/c.		35,000		7	By Ajay		19,500
9	To Vijay		13,000		15	By Furniture		10,000
27	To Cash		5,000		27	By Drawings		3,000
					31	By Balance C/fd.		20,500
			53,000					**53,000**

Purchases Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
3	To Ajay		20,000		31	By Trading A/c.		28,000
25	To Cash		8,000					
			28,000					**53,000**

Sales Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
31	To Trading A/c.		24,000		5	By Vijay		14,000
					21	By Cash		10,000
			24,000					**24,000**

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Travelling Expenses Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
18	To Cash		3,000		31	By Profit & Loss A/c		3,000
			3,000					**3,000**

Salary Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
30	To Cash		2,000		31	By Profit & Loss A/c		2,000
			2,000					**2,000**

Telephone Expenses Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
31	To Outstanding Exp.		1,500		31	By Profit & Loss A/c		1,500
			1,500					**1,500**

Discount Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
9	To Vijay		1,000		7 31	By Ajay By Profit & Loss A/c		500 500
			1,000					**1,000**

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Depreciation Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
31	To Furniture		200		31	By Profit & Loss A/c		200
			200					**200**

Ajay Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
7	To Bank		19,500		3	By Purchases		20,000
7	To Discount		500					
			20,000					**20,000**

Vijay Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
5	To Sales		14,000		9	By Bank		13,000
						By Discount		1,000
			14,000					**14,000**

Capital Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
28	To Bank		3,000		1	By Cash		50,000
31	To BalanceC/fd		47,000					
			50,000					**50,000**

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Outstanding Expenses Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
31	To Balance C/fd		1,500		31	By Telephone Exp.		1,500
			1,500					**1,500**

Furniture Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount		Date	Particulars	J.F.	Amount
15	To Bank		10,000		31	By Depreciation		200
					31	By Balancec/fd.		9,800
			10,000					**10,000**

Trail Balance as on 31st March 2012

Name of the Account	Debit	Credit
Cash	7,000	
Bank	20,500	
Purchases	28,000	
Sales		24,000
Travelling Expenses	3,000	
Salary	2,000	
Telephone Expenses	1,500	
Depreciation	200	
Discount	500	
Capital		47,000
Furniture	9,800	
Outstanding Expenses		1,500
Total:	**72,500**	**72,500**

ARUNAKUMARI

Trading Account for 31st March 2012

Dr. **Cr.**

Particulars	Amount	Particulars	Amount
Opening Balance	Nil	Sales	24,000
Purchases	28,000	Closing Stock	17,000
Gross Profit c/fd.	13,000		
Total:	**41,000**	**Total:**	**41,000**

Profit & Loss Account for 31st March 2012

Dr. **Cr.**

Particulars	Amount	Particulars	Amount
Travelling Expenses	3,000	Gross Profit b/fd.	13,000
Salary	2,000		
Telephone Expenses	1,500		
Discount	500		
Depreciation	200		
Profit carried to Capital A/c.	5,800		
Total:	**41,000**	**Total:**	**41,000**

Balance Sheet as on 31st March 2012

Dr. **Cr.**

Capital & Liabilities	Amount	Assets & Properties	Amount
Capital		Fixed Assets	
Balance	47,000	Furniture	10,000
Add : Profit for year	5,800	Less : Depreciation	200
	52,800		**9,800**
Current Liabilities		**Current Assets**	
Outstanding Expenses	1,500	Stock	17,000
		Cash	7,000
		Bank	20,500
Total:	**54,300**	**Total:**	**54,300**

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Problem:3 - With the following trial balance of Raman & Co, prepare final accounts:

Name of theAccount	Debit	Credit
Plant and Machinery	8,00,000	
Furniture	1,00,000	
Purchases	7,00,000	
Purchase Returns		10,000
Sales		15,29,000
Return inward	15,000	
Opening Stock	2,90,000	
Capital balance		6,00,000
Discount given	3,500	
Discounts received		7,000
Charity	2,000	
Sundry debtors	3,00,000	
Sundry creditors		2,45,000
Wages	65,000	
Carriage Inwards	7,000	
Bad Debits	11,000	
Provision for bad debits		7,500
Advertisement	25,000	
Cash in hand	30,000	
Cash at Bank	50,000	
Total:	**23,98,500**	**23,98,500**

Adjustments:

1. **Closing Stock Valued at Rs.1,50,000/-**
2. **Provide depreciation on Plant and Machinery 5%**
3. **Depreciation on Furniture at 10%**
4. **Provide for outstanding expenses : Wages Rs.20,000/- and Rent Rs.12,000/-**

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Solution:

Raman & Co Trading Account

Dr.			Particulars		Cr.
Particulars		**Amount**	**Particulars**		**Amount**
To Opening Stock		2,90,000	By Sales:	15,29,000	15,14,000
ToPurchases:	7,00,000	6,90,000	Less: Returns	15,000	1,50,000
Less:Returns	10,000	65,000	By Closing Stock		
To Wages:		20,000			
To Outstanding wages		7,000			
To Carriage inward:		5,92,000			
ToGross Profit C/fd. to Profit & Loss Account					
Total:		**16,64,000**	**Total:**		**16,64,000**

Raman & Co Profit & Loss Account

Dr. Cr.		Particulars		Amount
Particulars	**Amount**			
To Discount given	3,500	By Gross Profit B/fd. from		5,92,000
To Charity	2,000	Trading Account		7,000
To Bad Debts	11,000	By Discount received		7,500
To Advertisement	25,000	By Provision for Bad debits		
To depression on plant & machinery	40,000			
(8,00,000 X 5%)	10,000			
To depression on Furniture (1,00,000	12,000			
X 10%)	5,03,000			
To Outstanding Rent				
ToNet profit C/fd. to balance Sheet				
Total:	**6,06,500**	**Total:**		**6,06,500**

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Raman & Co Balance Sheet

Dr.					Cr.
Capital & Current Liabilities		**Amount**	**Properties & Current Assets**		**Amount**
To Capital:	**6,00,000**	11,03,000	**By Plant and Machinery:**		
Add: Net Profit:	**5,03,000**			8,00,000	7,60,000
Current Liabilities:			*Less:* Depreciation:	40,000	
To Sundry Creditors:		2,45,000	By Furniture:	1,00,000	
To Outstanding expenses			*Less:* Depreciation:	10,000	90,000
Wages		20,000	**Current Assets:**		
Rent		12,000	By Sundry debtors		3,00,000
			By Cash in Hand By		30,000
			Cash at Bank By		50,000
			Closing stock		1,50,000
	Total:	**13,80,000**		**Total:**	**13,80,000**

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